

down your search to the neighborhood you are buying in and find properties with similar features—number of bedrooms and bathrooms, square footage, and so on—and see what they are renting for. You can also use a rent estimator like BiggerPockets Insights—just know that although the data from estimators is usually spot-on, supplementing the numbers with some real market data from your area is always a good idea.

Other than the obvious cost of the dwelling itself, the gross rent will also typically include a fee for utilities. While you can reasonably assume that you won't be paying for your tenant's Wi-Fi and phone bill, you may need to check with local investors or agents on what else is customary in your local market. In most places, landlords will pay for water and trash removal and tenants will pay for the rest.

One more expense to consider is property management. You can manage the property yourself to save money, but we recommend budgeting for a property management service just in case you get sick of replacing lightbulbs down the line. On average, property management will cost about 10 percent of gross rental income. (You might want to slightly increase your maintenance budget too. While many properties will rent without a hitch, you never know when you'll get a tenant who likes to throw potato peels down the garbage disposal...and, yes, that's bad.)

While vacancy isn't a "cost" per se, you should account for that as well. If someone suddenly moves out and you're stuck paying that mortgage on your own, you should have some money built in to cover the absence. This is called a *vacancy allowance*, and it should generally be about 10 percent of gross rent or else the equivalent of one to two months' rent.

Though it may sound like renting out a property is more trouble than it's worth—a life full of lightbulbs, potato peels, and vacant rooms—you might change your mind once we start breaking down the numbers.

Break It Down Now

If you're a math person, we *figure* you'll like this next section. (Get it?) If you like math as much as you like a glass of orange juice after brushing your teeth, bear with us. We'll start by bringing all the variables together into one equation:

Gross rental income (including utilities fee)